

STATE OF OKLAHOMA

1st Session of the 60th Legislature (2025)

HOUSE BILL 1848

By: Schreiber

AS INTRODUCED

An Act relating to revenue and taxation; providing income tax credit for certain expenses related to provision of childcare services; defining terms; specifying credit amount; prescribing limit on credit amounts; prohibiting reduction of income tax liability to less than zero; providing for carryover; providing for termination of credit authorization; providing income tax credit for certain expenses related to provision of childcare services; specifying credit amount; prescribing limit on credit amounts; providing for refundability of tax credit; providing for termination of credit authorization; providing for codification; and providing an effective date.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 2357.231 of Title 68, unless there is created a duplication in numbering, reads as follows:

A. As used in this section:

1. "Child" means a person who is five (5) years of age or less;

2. "Childcare and education provider" means a person who owns or operates an eligible program;

1 3. "Childcare expense" means the cost of locating safe and
2 dependable services for the care of a minor child of an employee;

3 4. "Eligible program" means an applicable childcare and early
4 childhood education program that has applied to participate in the
5 quality rating and improvement system and has been assigned a
6 quality scale rating;

7 5. "Eligible staff member" means a person who is employed with,
8 or who is a self-employed person providing childcare and early
9 childhood education for, an eligible program for at least six (6)
10 months of the taxable year. Eligible staff member does not include
11 certificated teaching and administrative staff employed by programs
12 established pursuant to applicable provisions of law;

13 6. "Employee" means a person to whom wages or other
14 compensation is paid by an employer;

15 7. "Employer" means any sole proprietor or lawfully recognized
16 business entity engaged in lawful business activity;

17 8. "Licensed childcare facility" means a person or entity
18 lawfully authorized to provide childcare services within the state
19 and which is enrolled in Oklahoma's Quality Rating and Improvement
20 System (QRIS);

21 9. "Qualified childcare worker" means a person employed for at
22 least eight (8) consecutive months during the calendar year
23 corresponding to the income tax year for which the credit authorized
24 by this section is claimed and who performs classroom services for a

1 licensed childcare facility and who is enrolled in Oklahoma's
2 Professional Development Ladder (PDL); and

3 10. "Quality scale rating" means the rating of an eligible
4 program under which the rating is expressed in terms of stars.

5 B. For taxable years beginning on or after January 1, 2026, and
6 ending not later than December 31, 2030, subject to the limitations
7 prescribed by this subsection and subsection D of this section,
8 there shall be allowed as a credit against the tax imposed pursuant
9 to Section 2355 of Title 68 of the Oklahoma Statutes, an amount
10 equal to:

11 1. Thirty percent (30%) of the amount expended by an employer
12 for assistance provided by the employer to an employee for the
13 employee's direct expenses of childcare;

14 2. Thirty percent (30%) of the amount expended by an employer
15 for the cost of operating or contracting to operate a childcare
16 facility primarily used by dependents of the employees of such
17 employer or group of employees in the area, excluding any payments
18 made by the parent or guardian of such dependent such as tuition or
19 fees; or

20 3. Thirty percent (30%) of the amount expended by an employer
21 to contract with a childcare facility to reserving spots for its
22 employees.

23 C. The total credit amount which may be claimed by an employer
24 pursuant to the provisions of this section shall not exceed Thirty

1 Thousand Dollars (\$30,000.00) for credits claimed pursuant to
2 subsection B of this section for any taxable year.

3 D. The credits authorized pursuant to the provisions of this
4 section shall not be used to reduce the income tax liability of the
5 taxpayer to less than zero (0).

6 E. To the extent not used the credits authorized by this
7 section may be carried over, in order, to each of the succeeding
8 five (5) tax years.

9 F. The total amount of credits authorized to be used to reduce
10 income tax liabilities pursuant to the provisions of this section
11 shall not exceed Five Million Dollars (\$5,000,000.00) each fiscal
12 year.

13 G. The provisions of this section shall cease to have the force
14 and effect of law on January 1, 2031.

15 SECTION 2. NEW LAW A new section of law to be codified
16 in the Oklahoma Statutes as Section 2357.232 of Title 68, unless
17 there is created a duplication in numbering, reads as follows:

18 A. As used in this section:

19 1. "Child" means a person less than five (5) years of age;

20 2. "Licensed childcare facility" means a person or entity
21 lawfully authorized to provide childcare services within the state
22 and which is enrolled in Oklahoma's Quality Rating and Improvement
23 System (QRIS); and
24

1 3. "Qualified childcare worker" means a person employed for at
2 least eight (8) consecutive months during the calendar year
3 corresponding to the income tax year for which the credit authorized
4 by this section is claimed and who performs classroom services for a
5 licensed childcare facility and who is enrolled in Oklahoma's
6 Professional Development Ladder (PDL) and has earned a minimum of
7 twelve (12) credit hours.

8 B. For taxable years beginning January 1, 2026, and ending not
9 later than December 31, 2030, there shall be allowed a credit
10 against the tax imposed pursuant to Section 2355 of Title 68 of the
11 Oklahoma Statutes in the amount of One Thousand Dollars (\$1,000.00)
12 for a qualified childcare worker.

13 C. The credit authorized by this section shall be refundable.
14 The credit shall first be applied to income tax liability, if any,
15 for the income tax year for which the credit is claimed and the
16 balance shall be refunded to the taxpayer.

17 D. The total amount of credits authorized to be used to reduce
18 income tax liabilities pursuant to the provisions of this section
19 shall not exceed Fourteen Million Dollars (\$14,000,000.00) each
20 fiscal year.

21 E. The provisions of this section shall cease to have the force
22 and effect of law on January 1, 2031.
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SECTION 3. This act shall become effective January 1, 2026.

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